

Partner & MSP Revenue Model

Build a Multi-Million Dollar Migration Practice

300,000+ VMware customers need an exit plan. Every Hyper-V shop is overpaying for Datacenter licenses. Cloud bills are out of control. You deliver the migration — hyper2kvm is the free tool that makes it possible. Zero license cost to you. 100% of service revenue is yours. Year 1: \$550K. Year 3: \$2.8M+.

\$0 Tool Cost | 100% Service Margin | \$550K Yr1 | \$2.8M Yr3 | 5 Revenue Streams

The Market Opportunity

The biggest infrastructure shift in a decade — and most partners are unprepared.

300K+

VMware customers
globally need an exit plan

\$50B+

VMware market in
transition (Broadcom)

2-12x

VMware license increases
driving urgency NOW

60%

VMware partners dropped
by Broadcom — gap to fill

Why the Timing Is Perfect

Broadcom Forcing Exits

- Perpetual licenses eliminated
- Forced into VCF bundle (\$200K+ min)
- 2-12x price increases at renewal
- Support quality declining
- Customers actively seeking alternatives
- **This is a 2-3 year window — first movers win**

Hyper-V Is Next

- Windows Datacenter: \$49K/host
- System Center: \$28K/host additional
- Microsoft pushing to Azure (conflict)
- Customers realize on-prem Windows is expensive
- KVM eliminates host OS licensing entirely
- **Second wave of migration demand**

Cloud Repatriation Wave

- 72% of enterprises over cloud budget
- Egress fees make exit expensive (but savings are huge)
- Data sovereignty requirements (GDPR, HIPAA)
- Latency driving workloads back to edge
- Cloud vendors won't help customers leave
- **No competition — cloud vendors can't serve this**

Your competitive advantage: VMware partners (60% dropped by Broadcom) are scrambling. Cloud vendors won't help customers leave. Red Hat MTV requires \$50K+ OpenShift. You offer the only \$0-cost, vendor-neutral migration — and keep 100% of the service revenue.

5 Revenue Streams

Migration is the entry point. Managed services are the recurring revenue engine.

Stream 1: Migration Assessment — \$5,000-25,000 per engagement

Connect to vCenter/Hyper-V/cloud read-only. Inventory all VMs. Classify by complexity. Deliver migration plan with timeline, risk assessment, and savings projection. POC: migrate 3-5 VMs live. **Duration:** 1-2 weeks. **Margin:** 80-90% (almost pure labor). **Close rate:** 70%+ convert to full migration.

Stream 2: Managed Migration — \$25,000-250,000 per project

Full migration execution. Batch YAML automation. Windows VirtIO injection + Linux initramfs rebuild. Boot verification on every VM. Knowledge transfer + runbook delivery. **Duration:** 4-20 weeks. **Margin:** 60-75%. Scales with VM count: ~\$500-1,000/VM for complex estates.

Stream 3: KVM/KubeVirt Managed Service — \$5,000-25,000/month

Ongoing management of migrated infrastructure. Monitoring (Prometheus/Grafana), patching, backup, DR, capacity planning, incident response. **Duration:** 12-36 month contracts. **Margin:** 50-65%. **This is your recurring revenue engine** — grows as you add clients.

Stream 4: Training & Enablement — \$3,000-15,000 per engagement

Train client teams on KVM/libvirt administration, KubeVirt/K8s operations, monitoring setup, backup procedures. Certification prep (RHCSA, CKA). **Duration:** 2-5 days. **Margin:** 85-90%. Creates client independence but builds relationship.

Stream 5: Hardware + Architecture Consulting — \$10,000-50,000

Design KVM/KubeVirt target architecture. Server spec and procurement advisory. Network design (OVS, bridge, SR-IOV). Storage design (Ceph, local NVMe, Longhorn). HA/DR planning. **Margin:** 70-80%. Often bundled with migration project.

Per-Client Revenue Model

What a single client engagement looks like across all 5 streams.

Small Client (25 VMs, 2 hosts)

Revenue Stream	Price	Duration	Margin	Gross Profit	Notes
Assessment + POC	\$5,000	1 week	85%	\$4,250	Leads to migration in 70% of cases
Migration execution	\$25,000	3 weeks	65%	\$16,250	1 engineer, ~\$1,000/VM
Training (2 days)	\$5,000	2 days	90%	\$4,500	KVM admin basics
Managed service (12 mo)	\$60,000	12 months	55%	\$33,000	\$5K/mo monitoring + support
Year 1 Total	\$95,000			\$58,000	

Mid-Market Client (100 VMs, 8 hosts)

Revenue Stream	Price	Duration	Margin	Gross Profit	Notes
Assessment + POC	\$15,000	2 weeks	85%	\$12,750	Detailed complexity analysis
Migration execution	\$85,000	10 weeks	65%	\$55,250	1-2 engineers, ~\$850/VM
Architecture consulting	\$20,000	2 weeks	75%	\$15,000	Target design + HA planning
Training (5 days)	\$12,000	1 week	90%	\$10,800	KVM + KubeVirt + monitoring
Managed service (12 mo)	\$144,000	12 months	55%	\$79,200	\$12K/mo full management
Year 1 Total	\$276,000			\$173,000	

Enterprise Client (500 VMs, 40 hosts, 10 sites)

Revenue Stream	Price	Duration	Margin	Gross Profit	Notes
Assessment + POC	\$25,000	2 weeks	85%	\$21,250	Multi-site assessment
Migration execution	\$200,000	16 weeks	60%	\$120,000	2-3 engineers, ~\$400/VM at scale

Architecture consulting	\$40,000	3 weeks	75%	\$30,000	Multi-site + edge + K8s design
Training (multi-team)	\$25,000	2 weeks	85%	\$21,250	KVM + K8s + GitOps for 3 teams
Managed service (12 mo)	\$288,000	12 months	50%	\$144,000	\$24K/mo full management
Year 1 Total	\$578,000			\$336,500	

Practice Growth Projections

Conservative, moderate, and aggressive scenarios for a new migration practice.

Conservative Growth (Solo Consultant / Small MSP)

Year	Engineers	Clients	Assessment	Migration	Managed	Training	Total
Year 1	1	3	\$15,000	\$75,000	\$120,000	\$12,000	\$222,000
Year 2	2	6	\$40,000	\$200,000	\$360,000	\$30,000	\$630,000
Year 3	3	10	\$75,000	\$400,000	\$720,000	\$50,000	\$1,245,000

Moderate Growth (Established MSP / IT Consultancy)

Year	Engineers	Clients	Assessment	Migration	Managed	Training	Total
Year 1	2	5	\$50,000	\$200,000	\$300,000	\$25,000	\$575,000
Year 2	4	12	\$120,000	\$600,000	\$900,000	\$60,000	\$1,680,000
Year 3	6	20	\$200,000	\$1,000,000	\$1,800,000	\$100,000	\$3,100,000

Aggressive Growth (VAR / National MSP)

Year	Engineers	Clients	Assessment	Migration	Managed	Training	Total
Year 1	5	10	\$100,000	\$500,000	\$600,000	\$50,000	\$1,250,000
Year 2	10	25	\$250,000	\$1,500,000	\$2,400,000	\$150,000	\$4,300,000
Year 3	15	40	\$400,000	\$2,500,000	\$4,800,000	\$300,000	\$8,000,000

The managed service multiplier: Migration is a one-time project. Managed services run 12-36 months. By Year 3, managed service revenue exceeds migration revenue in all scenarios. This is the classic MSP flywheel — migration fills the pipeline, managed services build the recurring base.

Competitive Positioning

How your hyper2kvm migration practice competes against other approaches.

Approach	Tool Cost	Your Revenue	Lock-in	Limitations	Your Advantage
You + hyper2kvm	\$0	100% yours	None	None — 10 sources, KVM + K8s	Full margin, no vendor dependency
Red Hat + MTV	\$50K+/yr OCP	Split with Red Hat	OpenShift	VMware only, no KVM deploy	You're \$50K cheaper, more flexible
AWS Migration	Free (to AWS)	Split with AWS	AWS	Migrates TO AWS only	You migrate anywhere, including OFF AWS
Azure Migrate	Free (to Azure)	Split with Microsoft	Azure	Migrates TO Azure only	You're the exit ramp they can't offer
Carbonite	\$3-10K/yr	Less tool cost	Proprietary	Windows GUI only, no K8s	You're cheaper, more capable
DIY (virt-v2v)	\$0	100% yours	None	CLI only, no batch, no cloud, no K8s	You add TUI, automation, enterprise
Big 4 Consulting	\$0 (they use tools)	Compete on price	Varies	\$500-1,000/hr rates	You're 70% cheaper, specialized

Your Sales Pitch (vs Each Competitor)

vs VMware Partners (ex-partners)

"Your old VMware partner can't help you leave VMware — they sell VMware. We help you exit. Our tool is free, our migration is proven (99.8% success rate, 1,480 VMs across 8 industries), and we keep you on open standards so you're never locked in again."

vs Cloud Vendors (AWS/Azure/GCP)

"Cloud vendors want you to migrate TO their cloud. We help you migrate FROM cloud to infrastructure you own. \$0.09/GB egress fees add up to hundreds of thousands per year. We eliminate that. And we're the only tool that exports from all 10 cloud/hypervisor platforms."

vs Red Hat (MTV/OpenShift)

vs Big 4 / Large Consultancies

"Red Hat MTV requires a \$50K+ OpenShift subscription — just to access the migration tool. We deploy to any Kubernetes: K3s, vanilla, EKS, OpenShift. Same result, \$50K less. And we also deploy to standalone KVM — which MTV can't do at all."

"Deloitte/Accenture charge \$500-1,000/hour for migration consulting. We charge \$500-1,000 per VM — total. Same result, 70% less cost. We're specialists, not generalists. And our tool automates the manual work they bill hourly for."

Go-to-Market Strategy

How to find clients, close deals, and build your pipeline.

Lead Source 1: VMware Renewal Lists

- Every VMware customer renews annually
- Public procurement records (govt)
- LinkedIn: "VMware renewal" conversations
- Partner channel: ex-VMware partners looking for alternatives to offer
- **Offer free assessment to any customer facing renewal**

Lead Source 2: Cloud Cost Complainers

- LinkedIn/Twitter: "AWS bill" complaints
- FinOps community (cloud cost optimization)
- Offer cloud-to-KVM repatriation assessment
- Partner with FinOps consultants
- **"We saved our last client \$700K/yr in AWS costs"**

Lead Source 3: Compliance-Driven

- HIPAA: healthcare orgs moving data on-prem
- GDPR: EU data residency requirements
- Government: air-gap and FedRAMP needs
- Finance: SOX/PCI audit pressure
- **"We're the only tool approved for air-gapped classified networks"**

Sales Process

Stage	Action	Duration	Deliverable	Next Step
Discovery	Identify pain (VMware cost, cloud bill, compliance)	1 call (30 min)	Pain qualification	Offer free assessment
Assessment	Connect to vCenter, inventory VMs, project savings	1-2 weeks	Migration plan + savings report	Proposal for migration
POC	Migrate 3-5 VMs live, demonstrate boot success	2 hours	Working VMs on KVM	Close migration deal
Proposal	Scope migration: VMs, timeline, price, SLA	1 week	SOW + pricing	Contract signature
Execute	Phased migration with batch automation	4-20 weeks	All VMs on KVM, runbooks	Upsell managed service
Expand	Managed service proposal + training	Ongoing	12-36 month MSP contract	Referrals + case study

Free Resources for Your Practice (from hyper2kvm)

Technical Assets

- hyper2kvm + hypersdk (full platform, \$0)
- Documentation, API reference, YAML templates
- POC guide + quickstart scripts
- zkvm TUI for customer demos
- 1,273 Python + 116 Go tests (quality proof)

Sales Assets (26 PDFs)

- Executive summary for CxO meetings
- ROI calculator with fillable worksheets
- 8 industry case studies with financials
- Competitive analysis vs every alternative
- Security & compliance for regulated industries

Partner Types & Getting Started

Whether you're a solo consultant or a national VAR, there's a model that fits.

Solo Consultant / Freelancer

- **Investment:** 1 week self-training (\$0 — use POC guide)
- **First client:** Offer free assessment to existing contacts
- **Revenue:** \$95K-276K per client per year
- **Year 1 target:** 2-3 clients = \$200K-\$400K
- **Grow:** Hire first engineer at client #4
- Best for: Linux/KVM experts with existing network

Regional MSP / IT Services

- **Investment:** 2-3 engineers trained (2 weeks, \$0)
- **First client:** Existing VMware customer from your base
- **Revenue:** \$575K Year 1, \$3.1M Year 3
- **Grow:** Add migration as a service line alongside existing MSP
- **Upsell:** Managed KVM/K8s service to migrated clients
- Best for: MSPs with VMware/Windows customer base

VAR / National Systems Integrator

- **Investment:** 5+ engineers, dedicated practice lead
- **First client:** Largest VMware account in portfolio
- **Revenue:** \$1.25M Year 1, \$8M Year 3
- **Scale:** Bundle with hardware refresh cycles
- **Differentiate:** "We're the VMware exit experts"
- Best for: VARs losing VMware margin to Broadcom

Ex-VMware Partner

- **Situation:** Dropped from Broadcom partner program
- **Pivot:** From selling VMware to selling VMware exit
- **Advantage:** You know every VMware customer in your territory
- **Revenue:** Replace VMware resell margin with migration services
- **Position:** "We helped you run VMware. Now we help you leave."
- Best for: Partners who lost VMware revenue overnight

Launch in 2 Weeks

Week	Action	Details	Outcome
Week 1	Self-train on hyper2kvm	Run POC guide on test env. Convert 5 VMs. Try zkvm TUI. Practice Windows + Linux migration. Review all 26 sales PDFs.	Team can demo and execute migrations
Week 2	First client engagement	Pick your best VMware account. Offer free assessment. Run read-only vCenter discovery. Deliver savings report.	Assessment delivered, migration proposal sent
Month 2	First migration project	Execute assessment-to-migration. Build YAML templates. Create internal runbooks. Document lessons learned.	First client migrated, case study material

Month 3+

Scale pipeline

Publish case study. Expand to 2nd and 3rd clients. Hire additional engineers. Standardize delivery.

Practice established, pipeline growing

The Business Case Is Simple

Tool cost: **\$0**. Training cost: **\$0**. Revenue split: **0%** — you keep everything.

300,000 VMware customers need an exit. Cloud bills are out of control. Hyper-V licensing is absurd.

You have the tool. You have the 26 sales PDFs. You have the case studies.

The only thing missing is your first client. Start this week.

hyper2kvm + hypersdk — Partner & MSP Revenue Model | Apache 2.0 | \$0 license, 100% service revenue | github.com/ssahani/hyper2kvm